HMC ONE
AI STRATEGY. BUILT TO SCALE.

BUYING TEAMS · MULTI-CONCEPT FASHION AND HOME RETAIL

Markdown Calculator

Blanket "flat 50%" end-of-season sales gave way to an option-level markdown for every style, set early and set right. Built with GenAI on the buyer's own sales and stock data.

~~24.5%~~ → **16%** of the season buy left unsold at season end



+2.1 pts
Gross margin on clearance options
▲ 41.2% → 43.3%



−35 %
Season-end leftover stock
▼ less aged stock to outlet



~30 min
Time to build a markdown plan
▼ from about 3 days

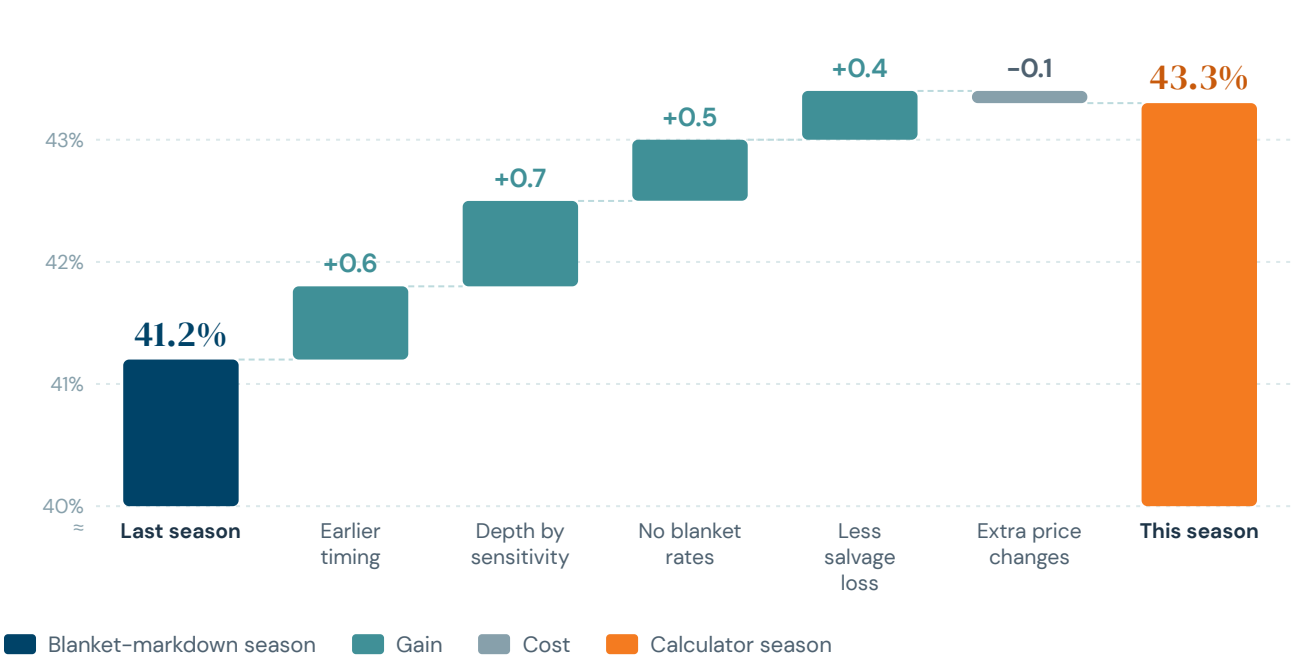


1,200 + options
Priced individually each week
▲ not one rate per department

Rings: the four sources of margin gain (depth by sensitivity in orange); leftover after (16%) with before (24.5%) inside, on a 30% scale; half an hour on the clock; the 5% markdown steps from 0% to 70%, grouped into hold, light, mid and deep bands.

01 Where the 2.1 points of margin came from

Gross margin % on clearance options, season on season · indicative



BIGGEST LEVER
Depth set by price sensitivity
+0.7 pts. Each category's sensitivity, estimated from past price changes, sets how deep to go.

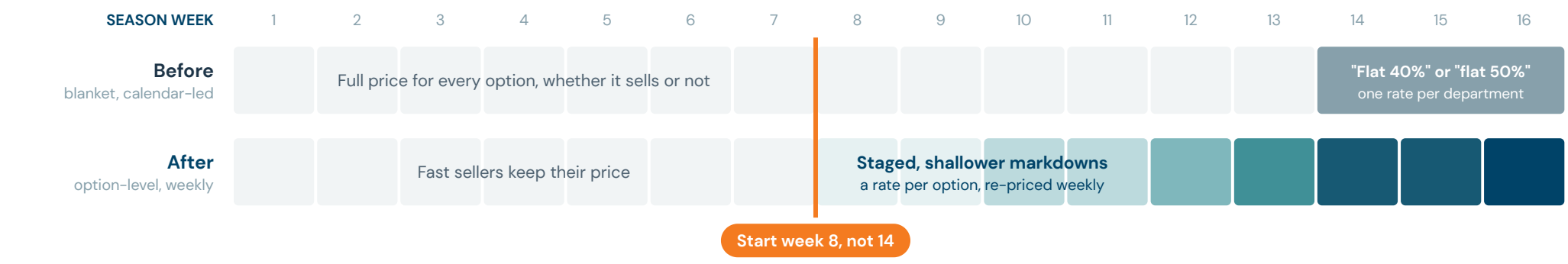
CLOSE SECOND
Timing worth as much as depth
+0.6 pts from starting earlier. A 20% markdown with eight weeks left often earns more than 50% with two.

PLUS
No blanket rates, less salvage
+0.5 and +0.4 pts: fast sellers stopped being over-discounted, and less stock went to outlets or jobbers.

THE ONLY COST
Extra price changes: -0.1 pts
More frequent re-pricing cost a little. The gain came from four places, not one.

02 Earlier and shallower beats late and deep

How a 16-week season is marked down, before and after · schematic



GRANULARITY
Every option, in 5% steps
Prices rounded to store price points, not one rate per department.
Hold · Light 5–20% · Mid 25–40% · Deep 45%+

BASIS
Sell-through, cover, sensitivity
Weekly demand decay for fashion freshness; leftover stock valued at salvage.

GUARDRAILS
Buyers stay in charge
Maximum depth per concept, minimum margin and clear-out targets, built in.

TRADE-OFFS
Visible before committing
Margin against clear-out on one screen, instead of invisible until the season closed.

03 Four pain points, four fixes

Before → after

BEFORE
Blanket discounts
One rate per department. Fast sellers were discounted needlessly; slow ones not cut enough.

PRICE THE OPTION

AFTER
A markdown per option
Fast sellers keep their price; slow ones get cut harder, in 5% steps.

BEFORE
Too late, too deep
Markdowns waited for the sale calendar, leaving only a deep cut in the last weeks.

WEEKLY CADENCE

AFTER
Staged from mid-season
Earlier, shallower markdowns starting week 8, not week 14.

BEFORE
Spreadsheet marathons
Sales, stock and cost extracts stitched by hand: about three days per plan.

GENAI CALCULATOR

AFTER
About 30 minutes
Weekly extract cleaned in Power Query; approved plan exported to pricing.

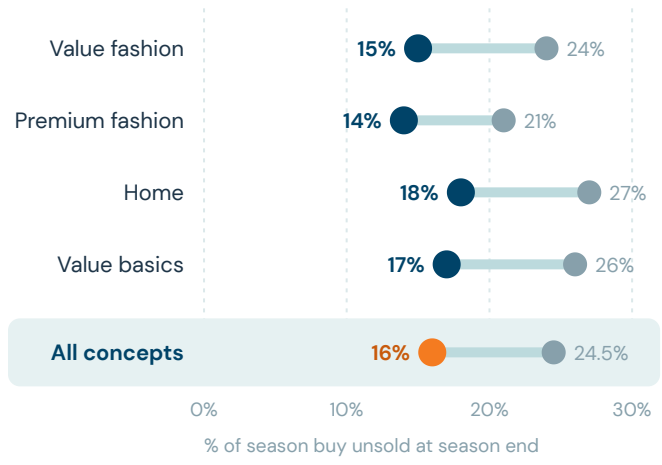
BEFORE
Aged stock piling up
Roughly a quarter of the buy went to outlets or jobbers at a fraction of cost.

CLEAR-OUT TARGETS

AFTER
About a sixth, and falling
Leftover cut from 24.5% to 16% of the buy across concepts.

04 Less left on the rail

Leftover stock by concept, before (grey) and after (navy) · indicative



05 How it gets decided

Before (grey) → after (navy)

BASIS	Last year's rate and gut feel	**Sell-through, cover, sensitivity**
TIMING	On the sale calendar, late	**Weekly, staged from mid-season**
EFFORT	About 3 days of spreadsheets	**About 30 minutes, to pricing**
MEETING	Spreadsheet on the big screen	**Plan challenged slider by slider**
LEARNING	Rates carried over each year	**Sell-through feeds next season**

06 How HMC ran it

2 weeks	**Discover**	Replayed last season's sale; two seasons of option-level data; leakage diagnostic.
2 weeks	**Design**	Sensitivity, demand decay and salvage logic, signed off by buying and finance.
3 weeks	**Build**	Claude wrote the elasticity analysis and calculator from buyer-approved specs.
1 season	**Adopt**	Calculator runs the weekly trade meeting; plan goes straight to pricing.
∞ ongoing	**Scale**	All concepts and Middle East markets; next, inter-store moves and buy depth.

What transfers to any buying team

01
Earlier and shallower beats late and deep
A 20% markdown with eight weeks left often earns more than 50% with two. Timing is worth as much as depth.

02
Price the option, not the department
Fast sellers keep their price; slow ones get cut harder. Blanket rates give margin away on both.

03
Show the trade-off, let the buyer decide
When buyers see margin against clear-out on one screen, they make better calls than any fixed rule.

Built with **Claude** · **Power Query** · **Python** · **Excel** on the weekly merchandising extract | Prepared by Havish M Consulting · Figures indicative; validated metrics available on request.

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